

Dhanraj Singh v. State of U.P. & 2 Others

High Court of Judicature at Allahabad · Division Bench · 13 February 2023 (final order; earlier orders of 4.1.2023 and 18.1.2023) · Writ-C No. 37137 of 2022 · **Writ petition disposed of. The petitioner challenged a recovery certificate/notice for Rs.2,12,848 (recovery as arrears of land revenue) issued by the Executive Engineer, Purvanchal Vidyut Vitran Nigam Ltd., though only a provisional bill dated 13.8.2021 had been served and no final assessment order had been passed. Recording that Clause 6.8 of the U.P. Electricity Supply Code, 2005 prescribes a mandatory procedure (fifteen working days to reply, personal hearing, and a speaking final assessment order) and that recovery certificates were being issued on provisional assessments across a large number of cases, the Division Bench stayed recovery (order of 4.1.2023) and required the Managing Director to file compliance data. The Managing Director's affidavits disclosed that the recovery against the petitioner had been initiated without complying with Clause 6.8 and was withdrawn on 13.1.2023, that of 14,241 recovery certificates issued since 1.4.2021 the procedure had been complied with in 13,710 and the rest (531) withdrawn, and that circulars had issued for strict compliance with Section 126 of the Electricity Act, 2003 and Clauses 6.8/8.1 with disciplinary action for default. As the recovery was withdrawn and corrective measures taken, the petition was disposed of with a direction to ensure strict compliance; the Court also flagged, as an attempt to overreach it, the Executive Engineer's false recital that the Court had ordered the withdrawal.**

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HEADNOTE

A recovery certificate for unauthorized use of electricity, issued on a provisional bill without any final assessment order, held unsustainable — with court-monitored systemic correction. The petitioner was served a recovery certificate/notice for Rs.2,12,848 as arrears of land revenue by the Executive Engineer, Purvanchal Vidyut Vitran Nigam Ltd.; he complained he had no opportunity of hearing, and the licensee's own instructions showed that only a provisional bill dated 13.8.2021 had been sent and that no final assessment order had been passed. The Division Bench held that Clause 6.8 of the U.P. Electricity Supply Code, 2005 prescribes a detailed and mandatory procedure for assessing unauthorized use of electricity — fifteen working days to submit a reply, a personal hearing, and thereafter a speaking order recording the brief of the inspection report and the consumer's written and oral submissions — and that recovery certificates were repeatedly being issued on the basis of provisional assessments, or provisional assessments treated as final without proper service or a speaking order, a 'slipshod approach' burdening the Court. Recovery was stayed and the Managing Director required to compile district-wise compliance data. The Managing Director's affidavits disclosed that the recovery against the petitioner had been initiated without complying with Clause 6.8 and had been withdrawn on 13.1.2023, that compliance figures had been compiled (of 14,241 recovery certificates issued since 1.4.2021, Clause 6.8 was complied with in 13,710 and 531 withdrawn), and that circulars had issued directing strict adherence to Section 126 of the Electricity Act, 2003 and Clauses 6.8/8.1 with disciplinary consequences. The Court further recorded, as a matter of serious concern to be dealt with administratively, that the Executive Engineer had falsely recited that the Court had directed withdrawal of the recovery (the Court had only stayed it) — an attempt to overreach the Court. As the recovery was withdrawn and corrective measures taken, the petition was disposed of with a direction to ensure strict compliance with the Managing Director's letter No.308 dated 13.1.2023.

FACTUAL SUMMARY

The petitioner, Dhanraj Singh, was served with a recovery certificate/notice (Paper-2 dated 4.4.2022) by the Executive Engineer/Authorised Officer, Purvanchal Vidyut Vitran Nigam Ltd., Vidyut Vitran Khand-I, Fatehpur, for recovery of Rs.2,12,848 as arrears of land revenue, on account of alleged theft/unauthorized use of electricity. The recovery certificate recited that a demand notice had been sent on 7.12.2021 and, the dues not being deposited, recovery was being effected. The petitioner contended that he was given no opportunity of hearing before the assessment, and also prayed to be allowed to pay in instalments. The licensee's instructions revealed that a provisional bill dated 13.8.2021 had been sent by registered post on 21.8.2021, but the documents did not show that any final assessment order had been passed. By order dated 4.1.2023 the Division Bench (Hon'ble Manoj Kumar Gupta, J. and Hon'ble Vikram D. Chauhan, J.) set out the mandatory Clause 6.8 procedure, noted that recovery certificates were being issued across a large number of cases without following it, stayed recovery, and required the Managing Director of Purvanchal Vidyut Vitran Nigam Ltd. to compile district-wise compliance data on affidavit. On 18.1.2023 the Court noted the Managing Director's circular dated 9.1.2023, that the compliance data was awaited, and that the Executive Engineer's communication (13.1.2023) seeking withdrawal of the recovery falsely recited an order 'dated 5.1.2023' directing withdrawal, though the Court had only stayed recovery — an attempt to overreach the Court. By the final order dated 13.2.2023 (Hon'ble Mahesh Chandra Tripathi, J. and Hon'ble Vivek Kumar Singh, J.), the Managing

Director's supplementary affidavit disclosed that the recovery against the petitioner had been initiated without complying with Clause 6.8 and withdrawn on 13.1.2023, that of 14,241 recovery certificates issued since 1.4.2021 Clause 6.8 had been complied with in 13,710 (531 withdrawn), and that Letters No.235 (9.1.2023) and No.308 (13.1.2023) directed strict compliance with Section 126 of the Electricity Act, 2003 and Clauses 6.8/8.1, with disciplinary action for default and a show-cause notice to the erring Executive Engineer. The recovery having been withdrawn and corrective measures taken, the petition was disposed of.

REUSABLE CONSTRUCTIONS

1. No recovery certificate for unauthorized use of electricity may be issued on the basis of a provisional assessment/bill alone; a final speaking assessment order, passed after the Clause 6.8 procedure (fifteen working days to reply, a personal hearing, and a speaking order recording the inspection-report brief and the consumer's written and oral submissions), is a precondition to recovery. **order of 4.1.2023**
2. Where recovery is initiated without complying with Clause 6.8 — only a provisional bill served and no final assessment order passed — the recovery certificate cannot stand, and recovery must be stayed and, if already begun, withdrawn. **orders of 4.1.2023 & 13.2.2023**
3. An officer's false recital that the Court had directed withdrawal of recovery — when the Court had only stayed recovery pending compliance — is an attempt to overreach the Court, a matter of serious concern to be dealt with on the administrative side. **order of 18.1.2023**

HOLDING-UNITS

INTERPLAY · EA2003::126

RATIO

A recovery certificate cannot be issued on a provisional bill/assessment without a final speaking assessment order

QUESTION

Can a recovery certificate (recovery as arrears of land revenue) for unauthorized use of electricity be issued and enforced where only a provisional bill has been served and no final assessment order has been passed?

HOLDING

No. Where the documents show only a provisional bill (here dated 13.8.2021, served on 21.8.2021) and no final assessment order, a recovery certificate cannot be sustained. Recovery of the assessed amount presupposes a final assessment order passed after the mandatory Clause 6.8 procedure; the recovery certificate issued against the petitioner was therefore stayed and, on the Managing Director's own affidavit, was found to have been initiated without complying with Clause 6.8 and was withdrawn. **orders of 4.1.2023 & 13.2.2023**

EVIDENCE “The documents do not show that any final assessment order has been passed against the petitioner.”
order of 4.1.2023

EVIDENCE “The aforesaid proceedings were initiated without complying the provisions of Clause 6.8 of U.P. Electricity Supply Code 2005 as such the same was withdrawn vide order dated 13.01.2023 by the concerned Executive Engineer.”
order of 13.2.2023 (MD's supplementary affidavit, para 8)

FLAG Multi-order stack, no printed page numbers, prose orders (pin_basis=date). Recovery amount Rs.2,12,848; the impugned instrument is described variously as a recovery certificate/citation and notice Paper-2 dated 4.4.2022.

HOLDING-UNIT · UP-2005::6.8

RATIO

The mandatory Clause 6.8 assessment procedure and court-monitored correction of systemic non-compliance

QUESTION

What procedure does Clause 6.8 mandate before a final assessment for unauthorized use of electricity, and how is the licensee's systemic disregard of it to be addressed?

HOLDING

Clause 6.8 prescribes a detailed procedure: fifteen working days to the consumer to submit a reply, a personal hearing, and thereafter a speaking order that records the brief of the inspection report and the consumer's submissions in his written reply and at the hearing. Recovery certificates were repeatedly being issued on the basis of provisional assessments, or provisional assessments treated as final and conclusive without proper service or a speaking order — a 'slip-shod approach' causing needless litigation. The Court required the Managing Director to compile district-wise

compliance data and ensure the procedure is followed, resulting in compliance figures and circulars (Letters No.235 dated 9.1.2023 and No.308 dated 13.1.2023) directing strict adherence with disciplinary consequences. orders of 4.1.2023, 18.1.2023 & 13.2.2023

EVIDENCE “Under Clause 6.8 of the U.P. Electricity Code, 2005, a detailed procedure is prescribed for making assessment in case of unauthorized use of electricity. It specifically provides for giving fifteen working days time to the consumer for submitting reply. Thereunder, personal hearing is also to be given to the consumer. Thereafter a speaking order has to be passed which should contain brief of inspection report, submissions made by the consumer in his written reply and during hearing.” order of 4.1.2023

EVIDENCE “In some cases, recovery certificates are being issued on basis of provisional assessment order, while in certain other cases, the provisional assessment order is being held to be final and conclusive without ensuring proper service of the order of provisional assessment and also without complying with the requirement of passing a speaking order.” order of 4.1.2023

FLAG Companion to SCJ-2215 (Devpati Devi): same DISCOM (Purvanchal VVNL), same Managing Director's circular dated 9.1.2023 and the same court-monitored Clause 6.8 compliance exercise.

PRINCIPLE TAGS

opportunity-before-final-assessment The petitioner had no opportunity of hearing before the assessment; Clause 6.8 mandates fifteen working days to reply, a personal hearing, and a speaking final order before assessment/recovery. order of 4.1.2023

demand-notice-on-provisional-assessment-is-illegal A recovery certificate issued on the basis of a provisional bill/assessment, without a final speaking assessment order, is illegal — the recovery against the petitioner was stayed and then withdrawn as non-compliant with Clause 6.8. orders of 4.1.2023 & 13.2.2023

recovery-certificate-requires-final-speaking-assessment-order A recovery certificate (recovery as arrears of land revenue) cannot issue on a provisional assessment; a final speaking assessment order after the Clause 6.8 procedure is a precondition to recovery. order of 4.1.2023

officer-false-recital-attempt-to-overreach-court The Executive Engineer's communication falsely recited that the Court had ordered withdrawal of the recovery (the Court had only stayed it) — held an attempt to overreach the Court, to be dealt with administratively. order of 18.1.2023

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS OF THE ASSESSMENT / LIABILITY OF THE PETITIONER FOR THE ALLEGED UNAUTHORIZED USE OF ELECTRICITY

Not adjudicated; the recovery was withdrawn for non-compliance with Clause 6.8, leaving it open to the authority to proceed afresh in accordance with the Code. order of 13.2.2023

NOT DECIDED — ADMINISTRATIVE/DISCIPLINARY ACTION AGAINST THE EXECUTIVE ENGINEER FOR THE OVERREACH AND NON-COMPLIANCE

A show-cause notice was issued and the matter left to be dealt with on the administrative side; the writ court did not adjudicate it. orders of 18.1.2023 & 13.2.2023

RELATED CASES — SEE ALSO

SCJ-2215 — Direct companion: the same Purvanchal VVNL Clause 6.8 systemic-compliance exercise (same Managing Director's circular dated 9.1.2023), recovery/demand for unauthorized use quashed for want of the procedure.

SCJ-057 — Assessment and demand notices quashed for want of the Clause 6.8 procedure, with liberty to reassess strictly per the Code.

SCJ-048 — Bill-cum-notice and demand notice set aside for non-compliance with Clause 6.8.

SCJ-070 — Assessment notice and demand set aside for procedural default, with liberty to pass a fresh order after following the Code.

